Blurt sheet - Unit 3.2 Managers, leadership and decision making

3.2.1 Management & Leadership Styles

- **Management:** planning, organising, coordinating and controlling resources
- **Leadership:** setting direction and influencing and inspiring people
- **Autocratic:** leader decides alone and tells staff
- **Paternalistic:** leader decides in what they believe is staff's best interest
- **Democratic:** staff consulted and involved in decisions
- **Laissez-faire:** leader sets broad goals and leaves staff to decide
- **Influences on style:** leader's personality, staff skills, urgency, task, risk, size and culture

3.2.1 The Tannenbaum Schmidt Continuum

- **Tannenbaum Schmidt continuum:** range of leadership from manager-centred to team-centred
- **Stages:** tell, sell, consult, join, delegate
- **Moving along:** manager uses less authority, team has more freedom
- **Forces deciding the position:** the manager, the team, the situation

3.2.2 Scientific & Intuitive Decision Making

- **Scientific decision making:** set objectives → gather data → analyse → select strategy → implement → review
- **Intuition:** decisions based on gut feeling and experience
- **Risk:** chance the outcome is worse than expected; can often be estimated
- **Uncertainty:** outcomes or their likelihood cannot be known
- **Opportunity cost:** the next best alternative given up
- **Influences on decisions (AQA):** mission, objectives, ethics, external environment including competition, resource constraints

3.2.2 Decision Trees

- **Square:** decision point
- **Circle:** chance node (outcomes with probabilities)
- **Probabilities at a chance node:** add up to 1
- **Expected value:** sum of (probability × pay-off)
- **Net gain:** expected value − cost of the option
- **Limitations of decision trees:** estimates, EV never actually happens, ignore qualitative factors and attitude to risk

3.2.3 Stakeholders: Needs, Overlap & Conflict

- **Stakeholder:** anyone who affects or is affected by the business
- **Internal stakeholders:** employees, managers, owners/shareholders
- **External stakeholders:** customers, suppliers, lenders, community, government, pressure groups
- **Overlap:** a successful business can meet many needs at once, especially long term
- **Conflict examples:** pay v dividends, low prices v margins, relocation v local jobs

3.2.3 Stakeholder Mapping & Managing Relationships

- **Stakeholder mapping:** stakeholders placed by power and interest
- **High power, high interest:** manage closely
- **High power, low interest:** keep satisfied
- **Low power, high interest:** keep informed
- **Low power, low interest:** monitor
- **Communication:** passing on information
- **Consultation:** asking for views before deciding